

INSURANCE AND PENSIONS COMMISSION



HALF YEAR REPORT
FOR
SELF ADMINISTERED PENSION FUNDS

FOR THE THIRD QUARTER ENDED 30 SEPTEMBER 2012

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2.0 Industry Overview

This report is based on 9 standalone funds, 3 fund administrators and two life assurers who submitted their quarterly returns on time.

For the quarter ended 30 September 2012, self administered funds reported contributions receivable amounting to \$147million, a 68% growth from the previous quarter. However 28% or \$41million was in arrear contributions. The industry realized total contributions net of arrears in the sum of \$106million and incurred \$34million in administration expenses reflecting a 32% expense ratio against an acceptable maximum of around 10%.

Total asset base rose from \$1billion reported in the previous quarter to close the current review period at \$1,2billion shared between standalone funds(59%),fund administrators (27%) and 14% of total assets were insurer -administered. The prescribed asset ratio continued to be at 1% despite floatation of various secure paper some with government guarantees and fairly competitive rates of return. The Commission will invoke statutory penalties to ensure compliance. For detailed information see Table below.

2.2 Financial Summary for Self Administered Funds

Item	Standalone Funds			Insurer Administered			Fund Administrators			TOTALS		
	Jun 2012	Sept 2012	%	Jun 2012	Sept 2012	%	Jun 2012	Sept 2012	%	Jun 2012	Sept 2012	%
Arrear Contributions (\$000)	18,726	29,880	60	1,444	410	-72	5,154	10,743	108	25,324	41,033	62
Total Contributions (Incl.Arrears)(\$000)	47,973	74,361	55	16,810	24,937	48	22,865	48,137	110	87,648	147,435	68
Total Contributions (Excl. Arrears)(\$000)	29,371	44,481	51	15,366	24,547	60	16,789	37,394	123	62,616	106,422	70
Total Income (\$000)	48,669	72,723	49	18,057	33,472	85	24,754	58,946	138	93,352	165,141	77
Total Expenses (\$000)	10,383	15,341	49	1,875	3,588	91	8,198	14,730	77	21,148	33,659	59
Net Income(\$000)	38,286	57,382	50	16,182	29,884	85	16,556	44,216	167	72,204	131,482	82
(Expense/Contributions)%	35	35%	-	12	15	3	49	39	10	34	32	-2
(Expense/Total Income)%	21	21%	-	10	11	1	33	39	6	23	20	-3
Total Assets (\$000)	674,012	716,872	-47	170,149	176,587	4	180,117	326,732	81	1,039,926	1,220,191	17
Prescribed Assets (\$000)	8,367	4,472		976	1,875	92	2,459	7,824	218	11,826	14,171	20
Prescribed Asset Ratio (%)	1	1	0	1	1	-	1	2	1	1	1	-



SECTION A

STAND ALONE FUNDS

3.0 The Number of Standalone Self Administered Pension Funds

This report is based on 9 standalone funds who submitted their returns on time (See Table 1,below). Going forward the Commission will penalize **ALL** funds who fail to submit their quarterly returns 21 days from the close of each quarter.

Table 1: Standalone Self Administered Pension Funds

Fund Name	30 June 2012	Sept 2012
Catering Industry Pension Fund	1	*
Clothing Industry Pension Fund	1	1
Communication and Allied P/Fund	1	1
Construction Industry P/Fund	1	*
Local Authorities Pension Fund	*	*
Mining Industry Pension Fund	1	1
NRZ Pension Fund	1	1
Pentact Pension Scheme	*	*
ZB Financial Holdings P/Fund	1	*
ZESA Pension Fund	1	1
GMB	*	1
Zimpapers	*	1
Motor Industry	*	1
Ernst &Young	*	1
TOTALS	8	9

*Returns not submitted

4.0 Pension Fund Membership

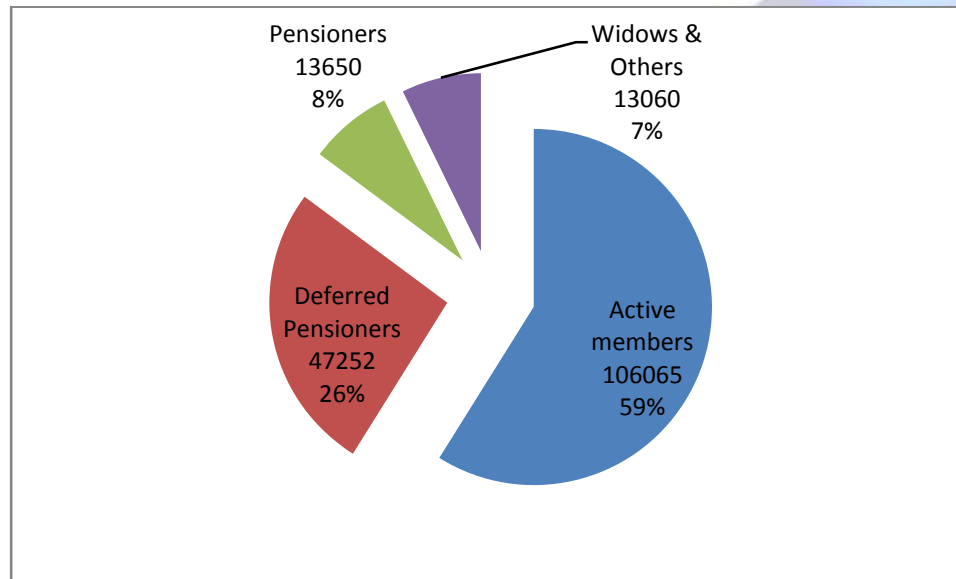
Total fund population contracted by 12% from the previous quarter to close the period under review at 180 000. The largest constituency was from active members who constituted 60% (March 2012:61%). This may be attributable to general reluctance to retire owing to low benefits receivable. Just like the previous quarter, deferred pensioners were 26% or 47 000 for the period under review. Pensioners were 8% or 13 700 whilst the balance was made up of beneficiaries (See Table 2 and Figure 1, below).

Table2: Membership per Standalone Fund for the quarter ended 30 September 2012

Fund Name	Active members			Deferred Pensioners			Former members/Pensioners			Widows & Others			Exits			Total Membership		
	June 2012	Sept 2012	Growth	June 2012	Sept 2012	Growth	June 2012	Sept 2012	Growth	June 2012	Sept 2012	Growth	June 2012	Sept 2012	Growth	June 12	Sept 2012	Growth
Catering IPF	15903	*	-	779	*	-	64	*	-	1	*	-	(63)	*	-	16684	*	-
Clothing IPF	11966	11551	(3%)	117	404	245%	0	0	0	415	0	-	(62)	0	-	12436	11955	(3%)
CAIPF	3541	3555		2354	2347		997	1006		3308	3296		(63)	(108)		10137	10204	
CIPF	49017	*	-	5557	*	-	20	*	-	69	*	-	(403)	*	-	54260	*	-
LAPF	*	*	-	*			*			*			*			*		
MIPF	30815	29720	(4%)	40336	41310	(2%)	6106	6261	(3%)	1067	1092	(2%)	(1143)	(1629)	(43%)	77181	78383	2%
NRZ	7184	7149	0	1419	1421	0	5602	5634	(1%)	8087	8069	0	(135)	165	22%	22157	22273	1%
Pentact	*	*		*			*			*			*			*		
ZB FHGPF	930	*	-	796	*	-	140	*	-	176	*	-	(29)	*	-	2013	*	-
ZESA PF	6197	6488	5%	0	0	-	115	143	24%	70	72	(3%)	0	0	-	6382	6703	5%
GMB	*	2088	-	*	971	-	*	16	-	*	0	-	*	(39)	-	*	3075	-
Zimpapers	*	923	-	*	799	-	*	428	-	*	510	-	*	(33)	-	*	2660	-
Motor Ind	*	44418	-	*	0	-	*	107	-	*	21	-	*	(226)	-	*	44546	-
Ernst & Young	*	173	-	*	0	-	*	55	-	*	0	-	*	(55)	-	*	228	-
Totals	125 553	106 065	(16%)	51 358	47 252	(8%)	13 044	13 650	5%	13 193	13 060	(1%)	(1898)	(1925)	1%	205 046	180 027	(12%)

*Returns not submitted

Figure 1: Membership for Standalone Funds for the quarter ended 30 September 2012



5.0 Contributions

Employers contributed 71% or \$53million of total contributions (June 2012:68%) whilst employees contributed \$22million or 29% of total contributions. However 40% of total contributions or \$30million were in arrears .The Commission will continue engaging as well as penalizing defaulting employers in terms of the law.

Table 3: Contributions Statistics per Standalone Fund for the quarter ended 30 September 2012

Fund Name	Contributions(000)						Arrear Contributions(000)						Total Contributions(000)		
	Members			Employers			Members			Employers					
	June 2012	Sept 2012	Growth	June 2012	Sept 2012	Growth	June 2012	Sept 2012	Growth	Jun 2012	Sept 2012	Growth	June2012	Sept 2012	Growth
Catering IPF	545	*	-	545	*	-	-	*	-	252	*	-	1,342	*	-
Clothing IPF	394	560	42%	552	785	42%	355	235	(34%)	498	329	(34%)	1,799	1,909	6%
CAIPF	1,349	1,943	44%	4,046	5,828	44%	-	561	-	2,279	1,684	(26%)	7,674	10,016	31%
CIPF	930	*	-	930	*	-	-	-	-	366	*	-	2,226	*	-
LAPF	-	*	-	-	*	-	-	*	-	-	*	-	-	*	-
MIPF	7,224	10,553	46%	7,167	10,778	50%	-	-	-	3,921	5,086	30%	18,312	26,417	44%
NRZ	1,887	2,821	49%	-	-	-	-	-	-	11,055	12,382	12%	12,942	15,203	17%
Pentact	-	*		-			-			-			-		
ZB FHGPF	372	*	-	555	*	-	0	*	-	0	*	-	927	*	-
ZESA PF	880	1,510	72%	1,871	3,209	72%	-	*	-	3,428	4,009	17%	6,179	8,728	41%
GMB	*	326	-	*	1,122	-	*	49	-	*	157	-	*	1654	-
Zimpapers	*	410	-	*	761	-	*	1,237	-	*	2,494	-	*	4,902	-
Motor Ind	*	1,416	-	*	2,123	-	*	-	-	*	1,657	-	*	5,196	-
Ernst&Young	*	132	-	*	203	-		-	-	*	-	-	*	336	-
Total	13,581	19,671	45%	15,666	24,809	58%	355	2,082	486%	18,371	27,798	51%	47,973	74,361	55%

6.0 Income and Expenditure

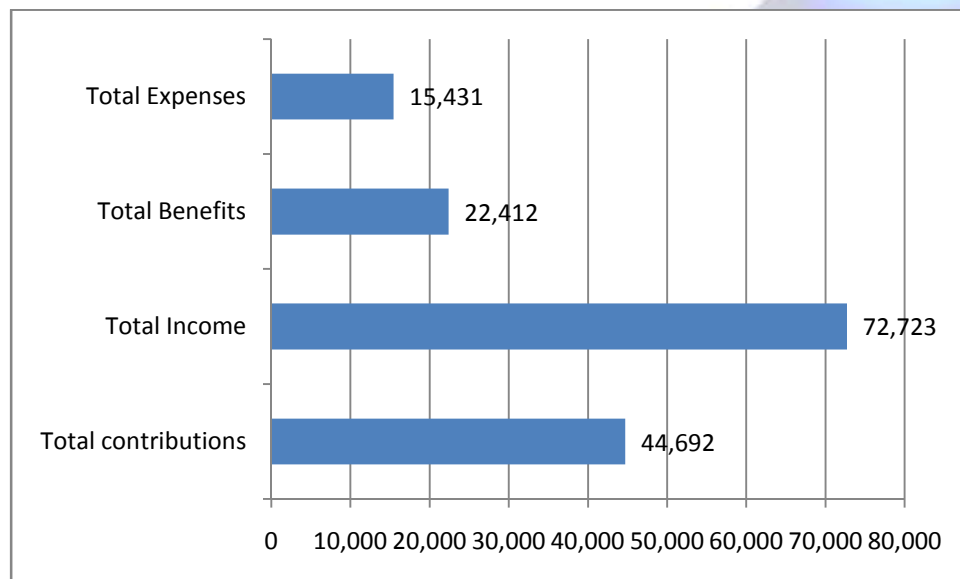
Standalone pension funds reported identical income and expenses growth rates of 49%. Total income was in the sum of \$73million (June 2012: \$49million) whilst expense were \$15million from \$10million in the previous quarter.

The Commission has engaged players in an endeavor to prescribe conservative expense ratios of at most 10% in order to safeguard fair pension fund values for members. To this end, the Commission has directed the relevant funds to submit cost cutting plans for consideration (See Table 4 and Figure 3 below).

Table 4: Income and Expenditure per Standalone Fund for the third quarter ended 30 September 2012 (\$'000)

Fund Name	Total Contributions (Excl arrears) (000)			Total Income (000)			Total Paid Benefits (000)			Expenses (000)			(Expenses/Contributions)%			(Expenses/Total Income)%		
	June 2012	Sept 2012	Growth	June 2012	Sept 2012	Growth	June 2012	Sept 2012	Growth	June 2012	Sept 2012	Growth	June 2012	Sept 2012	Growth	June 2012	Sept 2012	Growth
Catering IPF	1,090	*	-	1,872	*	-	267	*	-	962	*	-	88%	-	-	51%	-	-
Clothing IPF	393	1,385	252%	1,044	1,393	33%	162	338	109%	521	903	73%	133%	65%	(68%)	50%	65%	(15%)
CAIPF	6,665	7,771	17%	11,195	14,726	32%	3,716	5,795	56%	1,006	1,436	43%	15%	18%	3%	9%	10%	1%
CIPF	1,861	*	-	2,560	*	-	177	*	-	1,001	*	-	54%	-	-	39%	-	-
LAPF	*	*	-	-	-	-	*	-	-	*	-	-	*	-	-	*	-	-
MIPF	14,391	21,502	49%	19,011	28,467	50%	4,975	7,714	55%	6,927	9,911	43%	48%	46%	(4%)	36%	35%	(1%)
NRZ	1,887	2,821	49%	9,802	14,603	49%	3,978	6,895	73%	645	1,080	67%	34%	38%	4%	7%	7%	-
Pentact	*	*	-	-	*	-	*	-	-	*	*	-	-	-	-	-	-	-
ZB FHGPF	1,423	*	-	1,943	*	-	131	-	-	80	*	-	6%	*	-	4%	*	-
ZESA PF	2,751	4,719	72%	3,114	5,070	63%	51	113	122%	203	258	27%	7%	5%	(2%)	5%	5%	-
GMB	*	1,448	-	*	1,910	-	*	71	-	*	483	-	*	33%	-	*	25%	-
Zimpapers	*	1,171	-	*	1,417	-	*	449	-	*	361	-	*	31%	-	*	25	-
Motor Ind	*	3,539	-	*	4,747	-	*	810	-	*	940	-	-	27%	-	-	20%	-
Ernst&Young	*	336	-	*	390	-	*	227	-	*	59	-	-	18%	-	-	15%	-
Totals	29,371	44,692	52%	48,669	72,723	49%	13,190	22,412	70%	10,383	15,431	49%	35%	35%	-	21%	21%	-

Figure 3: Income and Expenditure for Standalone Funds for the third quarter ended 30 September 2012 (\$000)



7.0 Fund Assets

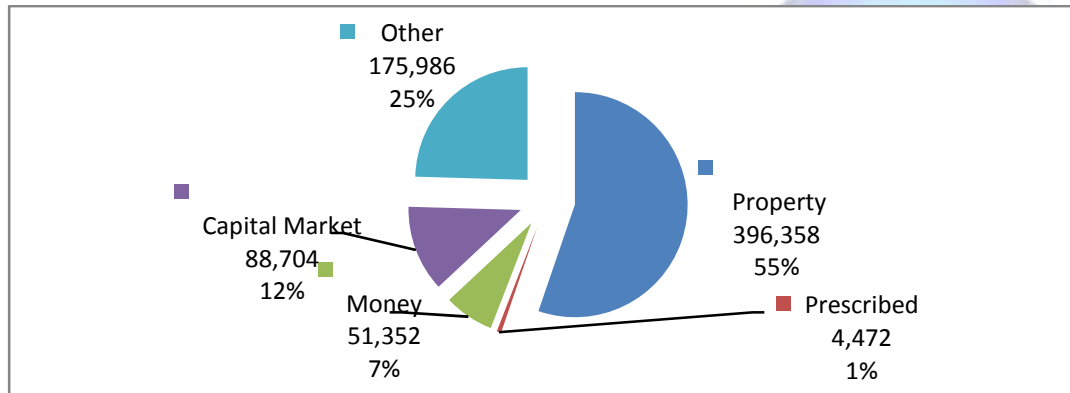
Fund assets were reportedly in properties {55% or \$396million, June 2012:59%}, equities {12% or \$89million, June 2012:11%}, money market {8% or \$51million, June 2012:4%} and other assets {25% or \$176million, June 2012:24%}.

Funds must statutorily invest 10% of their total assets in prescribed securities. The total asset base was reportedly at \$717million. Minimum compliance therefore should have invested \$72million in prescribed assets in stead of the current \$4million. The Commission is working with players to ensure compliance with the law (See Table 5 and Figure 4, below).

Table 5: Fund Assets At Market Value per Standalone Fund for the quarter ended 30 September 2012

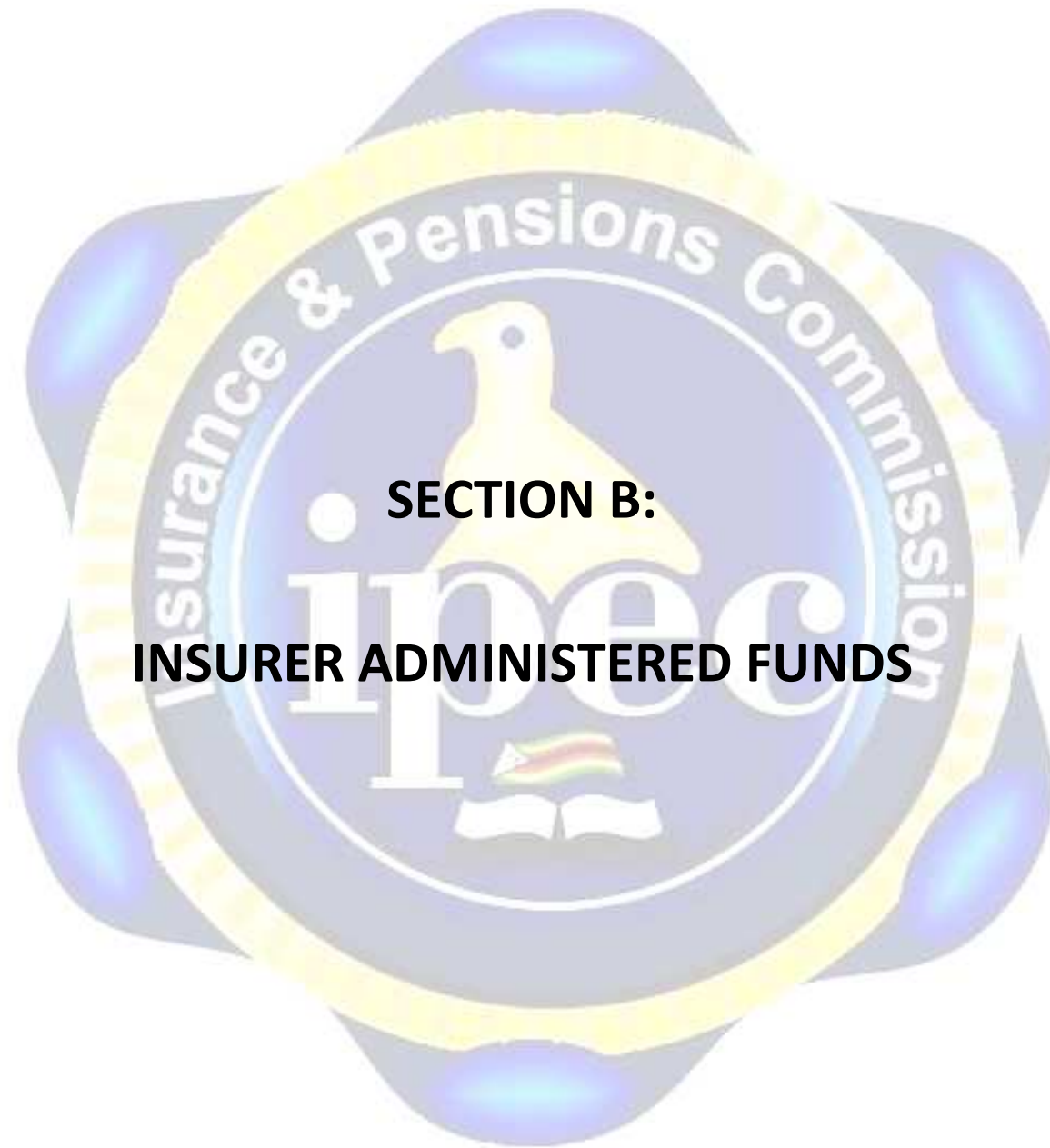
Fund Name	Immovable Property(\$000)			Prescribed Assets(\$000)			Money Market Securities(\$000)			Capital Market Securities(\$000)			Other(\$000)			Total(\$000)		
	June 2012	Sept 2012	Growth	June 2012	Sept 2012	Growth	June 2012	Sept 2012	Growth	June 2012	Sept 2012	Growth	June 2012	Sept 2012	Growth	June 2012	Sept 2012	Growth
Catering IPF	4,961	*	-	24	*	-	176	*	-	9,241	*	-	1,246	*	-	15,648	*	-
Clothing IPF	8,500	8,500	-	0	0	-	1,109	1,129	2%	3,449	3,497	1%	1,554	1,708	10%	14,612	14,834	2%
CAIPF	74,240	74,240	-	1,000	750	(25%)	590	1,703	189%	18,142	20,117	11%	16,992	18,506	9%	110,964	115,316	4%
CIPF	12,306	*	-	0	*	-	0	*	-	3,706	*	-	1,586	*	-	17,598	*	-
LAPF	*	*	-	*	*	-	*	*	-	*	*	-	*	*	-	*	*	-
MIPF	84,410	84,410	-	2,500	3,035	21%	8,609	11,919	38%	31,211	38,605	24%	6,478	6,660	3%	133,208	144,629	9%
NRZ	212,635	212,635	-	0	0	-	12,654	21,817	72%	9,985	9,498	(5%)	131,626	124,148	(6%)	366,900	368,098	-
Pentact	*	*	-	*	*	-	*	*	-	*	*	-	*	*	-	*	*	-
ZB FHGPF	2,470	*	-	4,625	*	-	0	*	-	5,215	*	-	151	*	-	12,461	*	-
ZESA PF	6,333	7,644	21%	242	242	-	6,480	6,600	2%	4,415	4,589	4%	799	18,417	2205%	18,269	37,492	105%
GMB	*	2,367	-	*	334	-	*	2,654	-	*	174	-	*	687	-	*	6,216	-
Zimpapers	*	2,393	-	*	0	-	*	5	-	*	918	-	*	3,820	-	*	7,136	-
Motor Ind	*	4,169	-	*	111	-	*	5,079	-	*	10,737	-	*	2,001	-	*	22,097	-
Earnst & Young	*	0	-	*	0	-	*	446	-	*	569	-	*	39	-	*	1,054	-
Totals	400,894	396,358	(1%)	8367	4,472	(47%)	29442	51,352	74%	76123	88,704	17%	159186	175,986	11%	674,012	716,872	6%

Figure 4: Fund Asset Values for Standalone Funds for the quarter ended 30 September 2012\$(000)



8.0 Investigations

Investigations into the operations of the Construction Industry Pension Fund, Local Authorities Pension Fund and Mining Industry Pension Funds were finalized and comments on pertinent issues were invited from the respective funds.



SECTION B:
INSURER ADMINISTERED FUNDS

1.0 The Number of Insurer Self Administered Pension Funds

This report covers 2 players who submitted their returns on time. (See Table 1, below).

Table 1: Fund Administrators

Insurer	30 June 2012	Sept 2012	Increase
First Mutual	6	6	-
Old Mutual	23	23	-
TOTALS	29	29	-

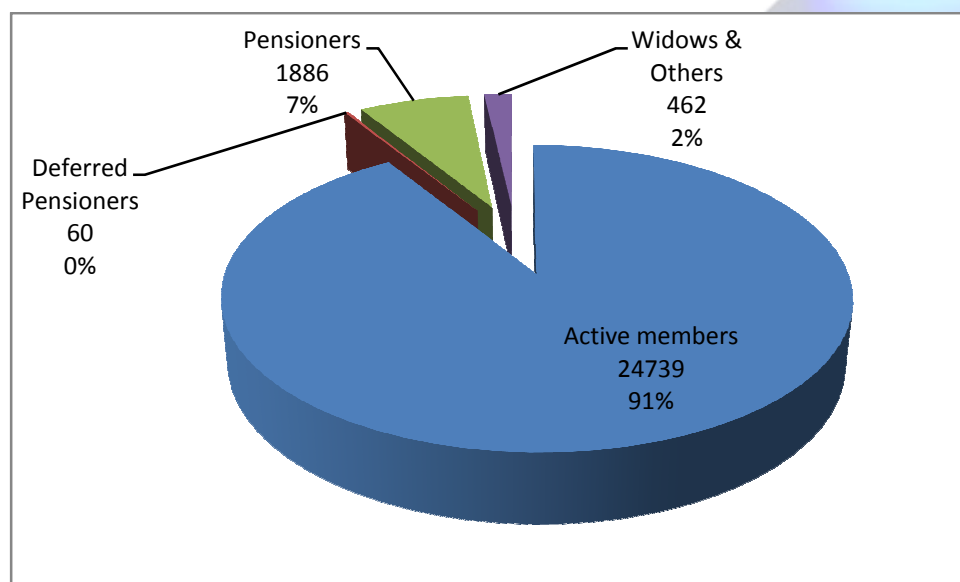
2.0 Pension Fund Membership

Total fund population barely grew by 1% from the previous reporting period. Active members made up 91% of total membership (June 2012:92%), pensioners 7 % (June 2012:7%) whilst others categories constituted the remaining 2%. (See Table 2 and Figure 1, below).

Table 2: Membership for Insured Self Administered Pension Funds for the quarter ended 30 September 2012

Insurer	Active members			Deferred Pensioners			Former members/Pensioners			Widows & Others			Exits			Total Membership		
	June 2012	Sept 2012	Growth	June 2012	Sept 12	Growth	June 2012	Sept 2012	Growth	June 2012	Sept 2012	Growth	June 2012	Sept 2012	Growth	June 2012	Sept 2012	Growth
First Mutual	2825	2882	2%	0	0	-	5	5	-	1	1	-	(42)	(12)	(74%)	2789	2888	-
Old Mutual	21874	21857	-	63	60	5%	1892	1881	1%	461	461	-	(303)	(337)	11%	23987	24259	1%
Totals	24699	24739	-	63	60	5%	1897	1886	1%	462	462	-	345	349	1%	26776	27147	1%

Figure 1: Membership Statistics for Insured Self Administered Funds for the quarter ended 30 September 2012



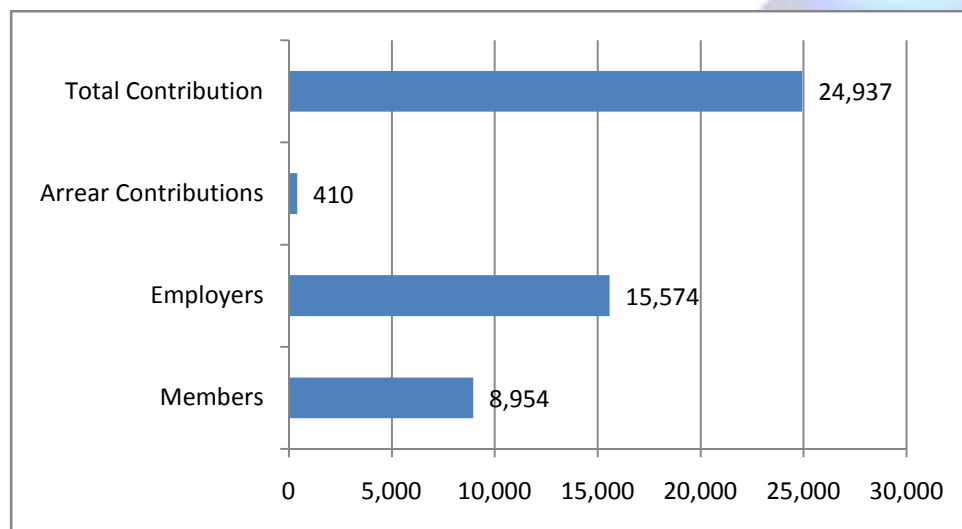
3.0 Contributions

Insurer administered funds' contributions for the quarter ended 30 September 2012 were as illustrated in Table 3 and Figure 2 below.

Table 3: Contributions Statistics for Insured Self Administered Funds for the third quarter ended 30 September 2012

Insurer	Contributions(000)						Arrear Contributions(000)						Total Contributions(000)		
	Members			Employers			Members			Employers					
	June 2012	Sept 2012	Growth	June 2012	Sept 2012	Growth	June 2012	Sept 2012	Growth	June 2012	Sept 2012	Growth	June 2012	Sept 2012	Growth
First Mutual	672	1,660	147%	510	1,164	128%	-	-	-	346	346	-	1,528	3,169	107%
Old Mutual	4,666	7,294	56%	9,518	14,410	51%	-	-	-	1,098	64		15,282	21,768	42%
Totals	5,338	8,954	68%	10,028	15,574	55%	-	-	-	1,444	410	(72%)	16,810	24,937	48%

Figure 2: Contribution Statistics for Insured Self Administered Funds for the quarter ended 30 September 2012 (000)



Employers contributed \$16million or 64% of total contributions (June 2012:68%) whilst employees paid \$9million or 36% of total contributions up from 32% reported in the previous quarter. However there was a 72% decline in contribution arrears from \$1,4million previously reported to \$0,4million for the current review period. This is attributable to the players and the Commission's continued efforts to ensure minimum funding gaps in pension schemes.

4.0 Income and Expenditure

For the year to date ended 30 September 2012, insurers reported an 85% growth in their total income streams from \$18million realized by mid year to \$33million. This was fuelled by significant growth in contribution collections and, reduction of contribution arrears among other factors.

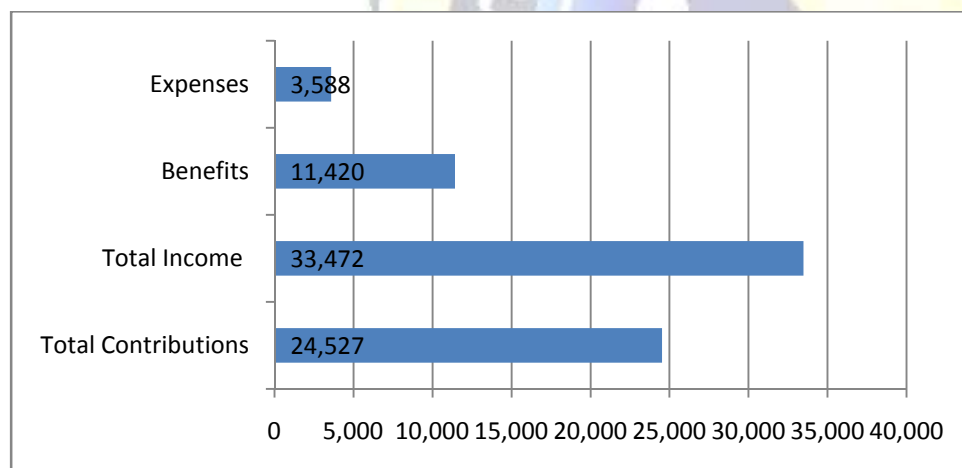
Though benefit grew by 36% to \$11 million, the expense bill almost doubled to \$3,6million (June 2012:\$1,9million). The reported expenses to contribution ratio was 15% (June 2012:12%) whilst the expenses to total income ratio was almost stagnant to close the current quarter at 11%. The Commission regards low expense ratios as a key performance indicator in order to safeguard fair

member values and consequent benefits. To this end, IPEC will continue to engage players to prudently manage costs in a bid to meet pension member expectation (See Table 4 and Figure 3 below).

Table 4: Income and Expenditure per Insurer for Self Administered Funds for the quarter ended 30 September 2012

Insurer	Total Contributions(Excl arrears) (000)			Total Income (000)			Total Paid Benefits(000)			Expenses(000)			(Expenses/Contributions)%			(Expenses/Total Income)%		
	June 2012	Sept 2012	Growth	June 2012	Sept 2012	Growth	June 2012	Sept 2012	Growth	June 2012	Sept 2012	Growth	June 2012	Sept 2012	Growth	June 2012	Sept 2012	Growth
First Mutual	1,182	2,823	139%	1,112	2,753	148%	76	416	447%	*	70	-	-	2%	2%	-	3%	-
Old Mutual	14,184	21,704	53%	16,945	30,719	81%	8,299	11,004	33%	1,875	3,518	88%	13%	16%	3%	11%	11%	-
Totals	15,366	24,527	60%	18,057	33,472	85%	8,375	11,420	36%	1,875	3,588	91%	12%	15%	3%	10%	11%	1%

Figure 3: Income and Expenditure for Insured Self Administered Funds for the quarter ended 30 September 2012\$ (000)



5.0 Fund Assets

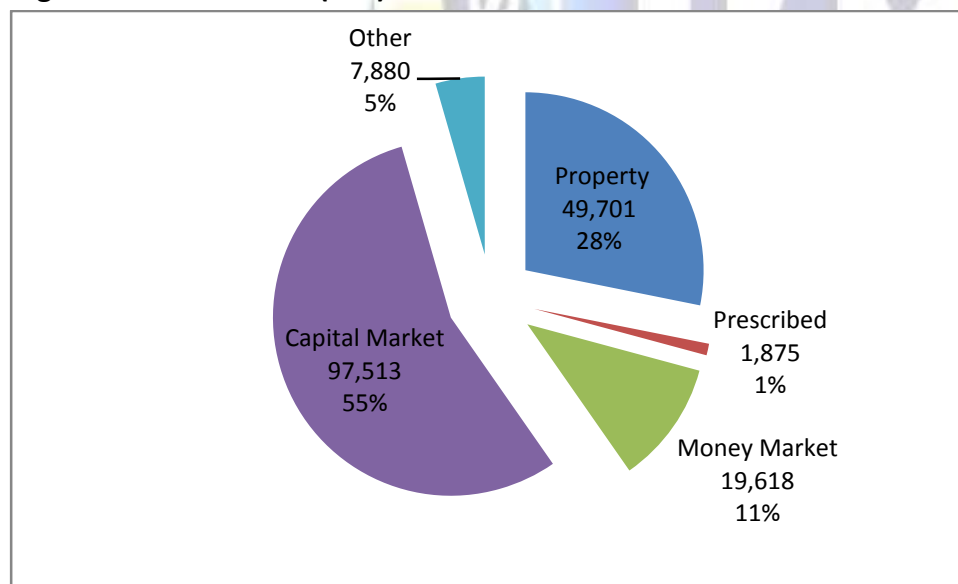
Asset distribution for the current reporting period was in properties {28% or \$50million, June 2012:30%}, equities {55% or \$98million, June 2012:35%}, money market {11% or \$20million, June 2012:7%} and other assets {4% or \$8million, June 2012:267}.

Reported figures indicate a near non-compliance by the funds to statutorily invest 10% of their total assets in prescribed securities. Given the current total asset base of \$177million, minimum compliance would have raised \$18million in prescribed assets as opposed to the current \$2million. Stringent statutory penalties will be levied to ensure compliance. (See Table 5 and Figure 4, below)

Table 5: Fund Asset Statistics At Market Value for Insured Self Administered Funds for the quarter ended 30 September 2012

Fund Name	Immovable Property\$(000)			Prescribed Assets\$(000)			Money Market Securities\$(000)			Capital Market Securities\$(000)			Other\$(000)			Total\$(000)		
	June 2012	Sept 2012	Growth	June 2012	Sept 2012	Growth	June 2012	Sept 2012	Growth	June 2012	Sept 2012	Growth	June 2012	Sept 2012	Growth	June 2012	Sept 2012	Growth
First Mutual	694	694	-	10	10	-	53	18	(66%)	7,538	8,044	7%	1,522	1,317	(13%)	9,817	10,083	3%
Old Mutual	50,680	49,007	(3%)	966	1,865	93%	11,994	19,600	63%	52,506	89,469	70%	44,186	6,563	(85%)	160,332	166,504	4%
Totals	51,374	49,701	(3%)	976	1,875	92%	12,047	19,618	63%	60,044	97,513	62%	45,708	7,880	(83%)	170,149	176,587	4%

Figure 4: Fund Assets \$(000)





SECTION C:
FUND ADMINISTRATORS

1.0 The Number of Fund Administrators

This report is based on 131 funds in the books of the listed administrators (See Table 1, below).

Table 1: Fund Administrators

Fund Administrator	30 June 2012	Sept 2012	Increase/Decrease
Aon Consulting	13	58	45
Comarton Consultants	30	30	-
Marsh	45	43	(2)
TOTALS	88	131	43

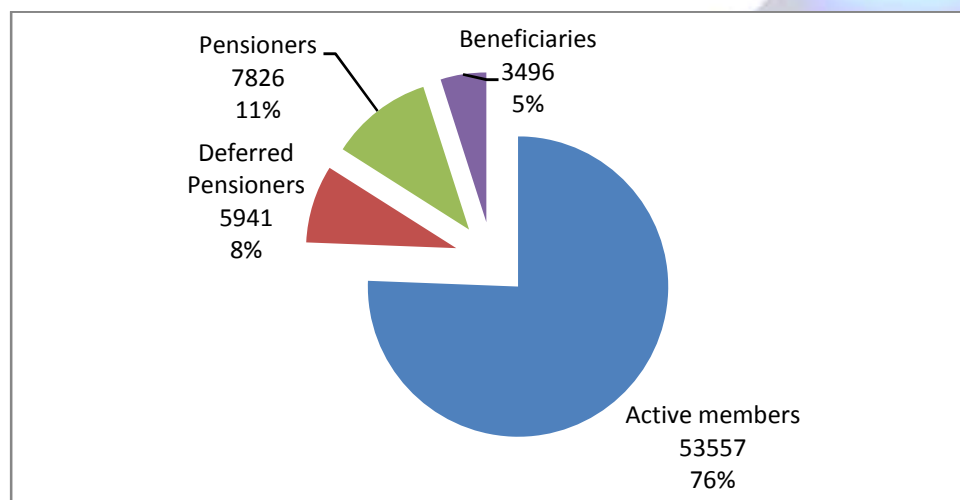
2.0 Pension Fund Membership

Total fund membership grew by 20% to 71 000 from the previously reported figures. Active members made up 76% of total membership (June 2012:77%), pensioners 11 % (June 2012:8%), deferred pensioners 8 % (June 2012:7%) whilst others categories made up the remainder (See Table 2 and figure 1 below).

Table2: Membership for Self Administered Funds for the third quarter ended 30 September 2012

Administrator	Active members			Deferred Pensioners			Former members/Pensioners			Widows & Others			Exits			Total Membership		
	June 2012	Sept 2012	Growth	June 2012	Sept 2012	Growth	June 2012	Sept 2012	Growth	June 2012	Sept 2012	Growth	June 2012	Sept 2012	Growth	June 2012	Sept 2012	Growth
Aon	14938	26308	76%	115	811	605%	408	2,165	431%	711	39	(95%)	(311)	(761)	145%	15861	29323	85%
Comarton	16965	16813	(1%)	944	939	(1%)	1766	1894	7%	1623	1617	0	(76)	(368)	384%	21222	21063	(1%)
Marsh	13638	10436	(23%)	2973	4191	41%	2668	3767	41%	1724	1840	7%	(144)	(319)	122%	20859	20234	(3%)
Totals	45,541	53557	18%	4032	5941	47%	4842	7826	62%	4058	3496	(14%)	(531)	1448	173%	59004	70620	20%

Figure 1: Membership



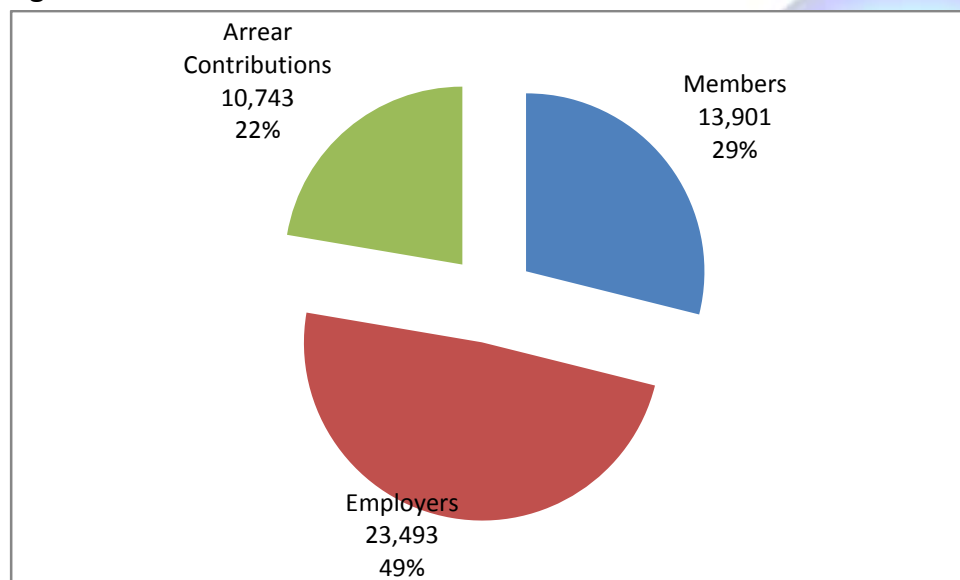
3.0 Contributions

The contribution statistics for the third quarter ended 30 September 2012 were as shown in Table 3 and Figure 2 below.

Table 3: Contributions Statistics for Self Administered Funds for the third quarter ended 30 September 2012

Fund Name	Contributions(000)						Arrear Contributions(000)						Total Contributions(000)		
	Members			Employers			Members			Employers					
	June 2012	Sept 2012	Growth	June 2012	Sept 2012	Growth	June 2012	Sept 2012	Growth	Jun 2012	Sept 2012	Growth	June2012	Sept 2012	Growth
Aon	1,147	7,769	577%	5,933	13,736	132%	15	672	4380%	721	1,158	61%	7,816	23,335	199%
Comarton	3,242	1,419	48%	1,909	3,524	85%	978	1,032	6%	2,025	2,577	27%	5,872	8,552	46%
Marsh	3,242	4,713	45%	4,520	6,233	38%	-	-	-	1,463	5,304	-	9,177	16,250	77%
Total	5,349	13,901	160%	12,362	23,493	90%	993	1,704	72%	4,209	9,039	115%	22,913	48,137	110%

Figure 2: Contributions



Fund members contributed \$16million or 32% of total contributions (June 2012:28%). Employers on the other hand contributed \$33 million or 68% of total contributions (June 2012:72%).Total contribution doubled to \$48million due to a player who had submitted understated returns.

Contribution arrears amounted to 22% or \$11million for the current reporting period (June 2012:23% or \$5million). IPEC continues to appeal for co-operation from all stakeholders to reverse this scenario as arrears contributions contribute to low pensions payouts and therefore compromised member confidence in the pensions industry.

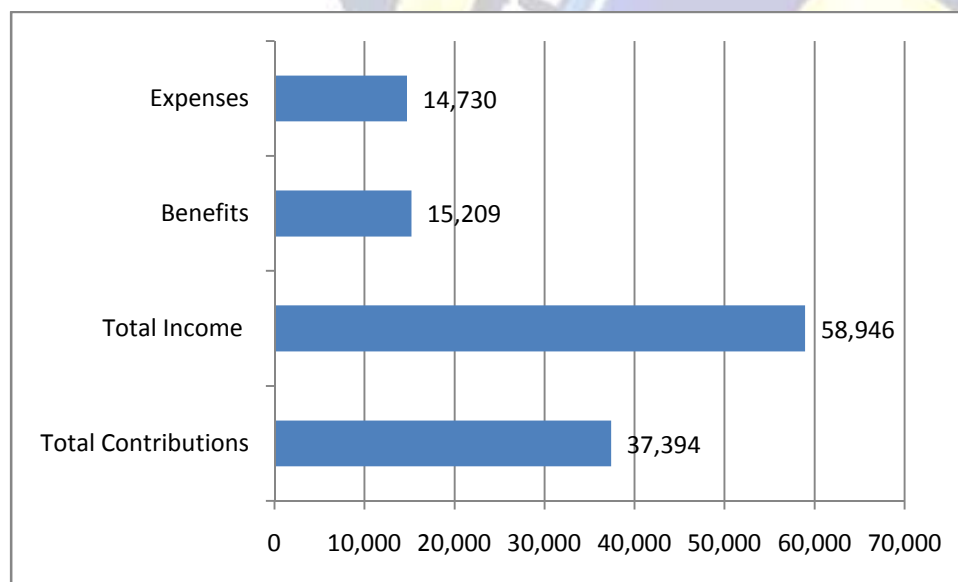
4.0 Income and Expenditure

Pension fund administrators reported total income of \$59million,a 138% growth from the previous reporting period whilst benefit payments rose by 181% to close the quarter at \$15million,an equivalent amount to the expenses bill. The industry realized a 39% expense ratio against a reasonably expected maximum of 10%. In order to safeguard fair member expectations, the Commission will continue to engage players to rationalize their costs (See Table 4 and Figure 3 below).

Table 4: Income and Expenditure for Self Administered Funds for the third quarter ended 30 September 2012

Fund Name	Total Contributions(Excl arrears) (000)			Total Income (000)			Total Paid Benefits(000)			Expenses(000)			(Expenses/Contributions)%			(Expenses/Total Income)%		
	June 2012	Sept 2012	Growth	June 2012	Sept 2012	Growth	June 2012	Sept 2012	Growth	June 2012	Sept 2012	Growth	June 2012	Sept 2012	Growth	June 2012	Sept 2012	Growth
Aon	3,233	21,505	565%	4,198	32,649	678%	908	7,974	778%	1,625	6,198	281%	50%	29%	(21%)	39%	19%	(20%)
Comarton	5,794	4,943	(15%)	8,599	8,985	4%	1,612	2,481	54%	3,208	3,706	16%	55%	75%	20%	37%	43%	6%
Marsh	7,762	10,946	41%	11,957	17,312	48%	2,890	4,754	64%	3,365	4,826	43%	-	44%	-	28%	28%	0
Totals	16,789	37,394	123%	24,754	58,946	138%	5,410	15,209	181%	8,198	14,730	77%	49%	39%	(10%)	33%	39%	6%

Figure 3: Income and Expenditure \$ (000)



5.0 Fund Assets

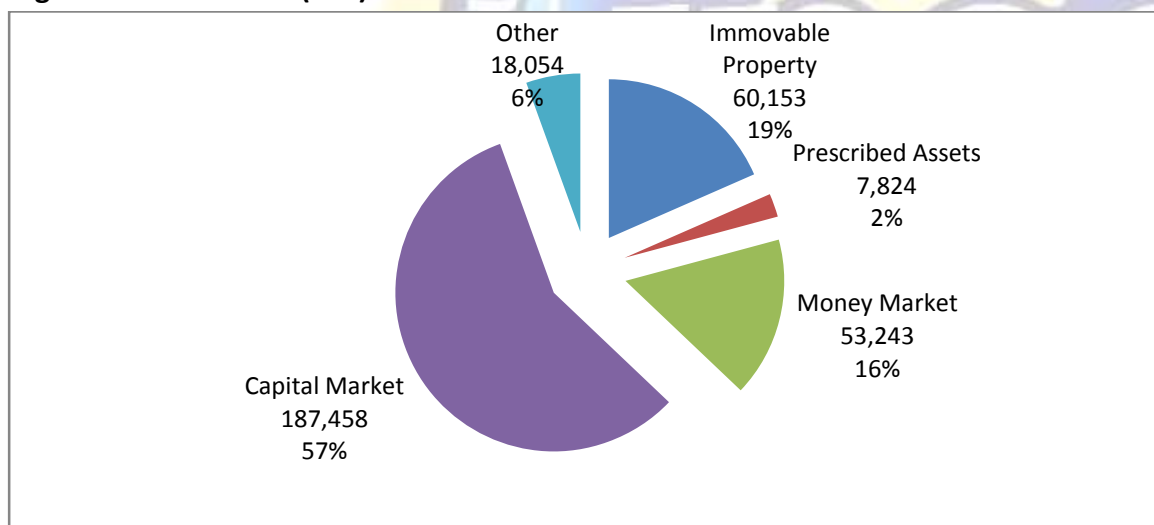
For the quarter under review, fund administrators invested 18% of their assets in immovable properties(June 2012:18%), 57% in capital market(June 2012:61%),money market 16%(June 2012:7%) with the balance staggered in other assets and prescribed assets.

Statutorily pensions are required to maintain 10% prescribed asset subscription. Given a total asset base of \$324million, the minimum prescribed assets must have been at least \$32million. Given credible paper which has been floated with government guarantees among other security features, the Commission requires compliance in this regard otherwise statutory penalties will be charged. (See Table 5 and Figure 4, below)

Table 5: Fund Asset Statistics At Market Value for Self Administered Funds for the third quarter ended 30 September 2012

Fund Name	Immovable Property(000)			Prescribed Assets(000)			Money Market Securities(000)			Capital Market Securities(000)			Other(000)			Total(000)		
	June 2012	Sept 2012	Growth	June 2012	Sept 2012	Growth	June 2012	Sept 2012	Growth	June 2012	Sept 2012	Growth	June 2012	Sept 2012	Growth	June 2012	Sept 2012	Growth
Aon	3,938	16,977	331%	200	5,063	2432%	4,509	36,727	715%	14,619	91,579	526%	1,608	7,678	377%	24,874	158,024	535%
Comarton	55	-	-	419	561	34%	7,986	9,956	25%	45,482	50,700	11%	0	-	-	53,942	61,217	13%
Marsh	42,979	43,176	-	1,840	2,200	20%	*	6,560	-	48,992	45,179	(8%)	7,490	10,376	39%	101,301	107,491	6%
Totals	46,972	60,153	28%	2,459	7,824	218%	12,495	53,243	326%	109,093	187,458	72%	9,098	18,054	98%	180,117	326,732	81%

Figure 4: Fund Assets (000)



6.0 Legislation Amendments

As previously advised, the proposed amendment to the Pensions and Provident Fund Act Chapter 24:09 is ongoing.

7.0 Conversion Audit

The audit was concluded in this quarter. However the findings are still under internal review processes.

8.0 Onsite Visits

Onsite visits were mainly done via the ongoing conversion audit as advised elsewhere.

9.0 Commutations

The Commission requires fund administrators to evaluate and forward applications **ONLY** those which qualify in terms of Circular 4 of 2012.

Conclusion

The Commission advises players to pay particular attention to reducing their expense ratios and facilitating that employers do not unjustifiably accumulate arrear contributions to ensure viability of the funds and preservation of member values.

Way Forward

Quarterly reports are an integral part of our offsite supervision of the industry. As such, all players are required to submit their returns 21days after the end of each and every quarter to avoid penalties.